

1. Delinquency Management Policy

1.1 Purpose

The Delinquency Management Policy establishes a standardized framework for managing past-due auto loan and lease accounts in a consistent, compliant, and customer-centric manner. The objective is to minimize credit losses while supporting customers through early intervention, hardship assistance, and regulatory-compliant communications.

1.2 Scope

This policy applies to:

- Retail installment contracts (auto loans)
 - Retail leases
 - All customer servicing, collections, and recovery activities
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1.3 Definitions

- **Days Past Due (DPD):** Number of calendar days since a scheduled payment due date.
 - **Grace Period:** A defined number of days after the due date during which late fees are not assessed.
 - **Cure:** Customer action that brings the account current.
 - **Repossession Trigger:** Threshold at which recovery actions may be initiated.
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1.4 Delinquency Stages

Stage	DPD Range	Status Description
Current	0 DPD	Payment received on time
Early Delinquency	1–29 DPD	Missed payment, low risk
Mid Delinquency	30–59 DPD	Elevated risk
Late Delinquency	60–89 DPD	High risk

Severe
Delinquency

90+ DPD

Repossession eligible

1.5 Customer Communication Guidelines

- Communication cadence is based on DPD stage
 - All outreach must comply with FDCPA, UDAAP, and state regulations
 - Tone must be respectful, empathetic, and non-threatening
 - Bankruptcy or legal flags immediately restrict communications
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1.6 Fees and Charges

- Late fees assessed only after grace period expiration
 - Fee amounts vary by state and contract terms
 - Fee waivers may be permitted under documented hardship scenarios
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1.7 Hardship & Assistance Programs

Eligible customers may qualify for:

- Payment extensions or deferrals
- Temporary payment reductions
- Disaster or emergency relief programs

Eligibility is determined based on documented hardship and account history.

1.8 Repossession & Recovery

- Repossession may be initiated at severe delinquency thresholds
 - Customers must be provided legally required notices
 - Voluntary surrender options should be communicated when appropriate
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1.9 Compliance & Audit

- All delinquency actions must be logged and auditable
- Exceptions require supervisory approval

- AI-assisted recommendations must be explainable and policy-aligned